Quarterly Board Update

Q3 2026 · July to September

Marrowgate Freight Group · prepared by the Group Finance Director

Agenda

- Q3 at a glance
- Revenue by region
- Cash and capital expenditure
- Principal risks
- Decisions requested and items for noting

PERFORMANCE

Q3 at a glance

Measure	Q3 2026	Q3 2025	Target
Revenue, €m	48.6	44.1	47.0
EBITDA margin	13.6%	13.1%	14.0%
Free cash flow, €m	0.4	2.3	1.0
Net debt, €m	12.4	15.9	13.0
On-time delivery	94.8%	93.2%	95.0%
Lost-time injuries	3	5	0

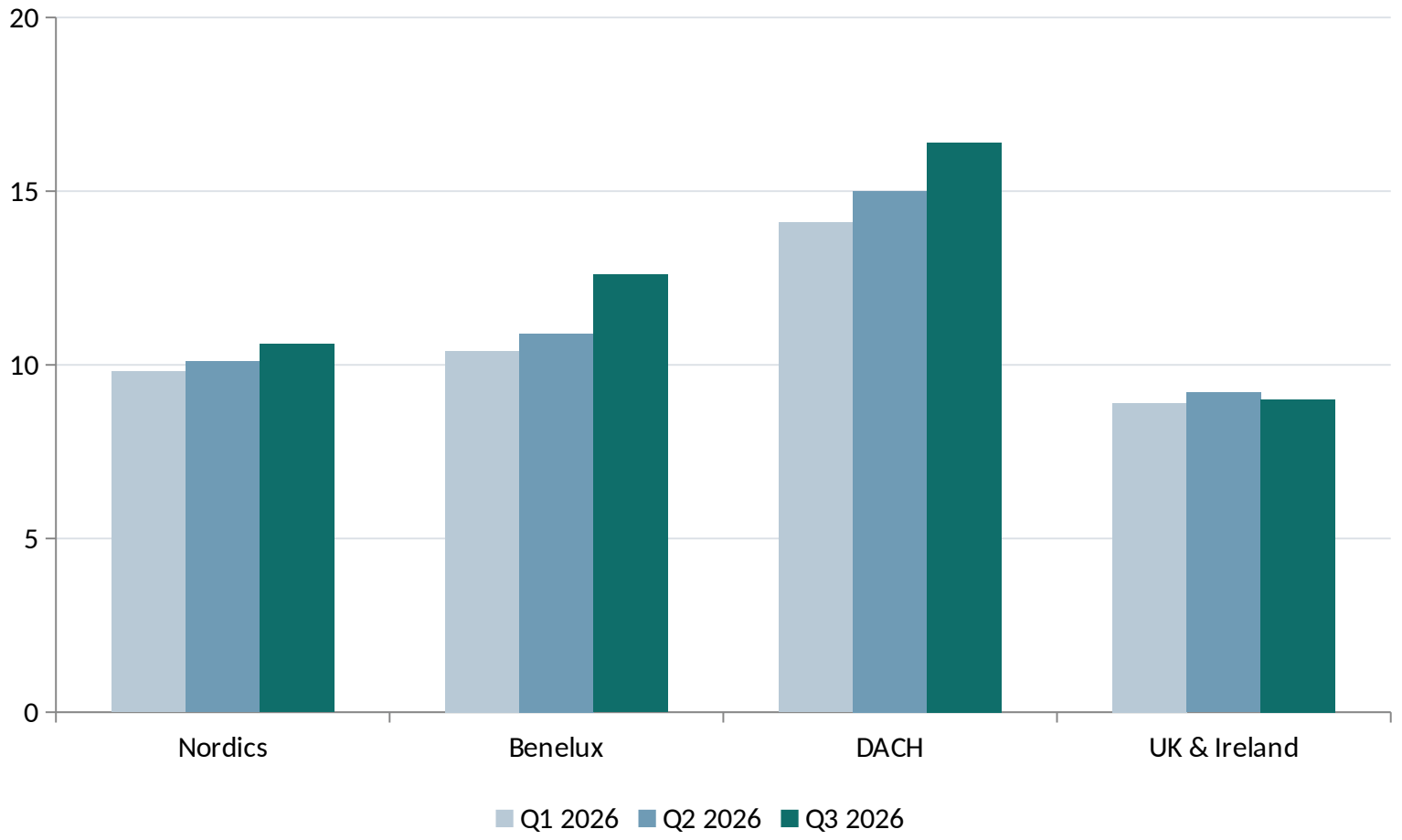
Commentary

Revenue ahead of target on contract wins in DACH.

Margin held back by fuel and agency driver costs.

Working capital improved after the invoicing backlog was cleared.

Revenue by region



€m, by quarter

DACH remains the largest region after the new retail contract.

UK & Ireland flat; pricing review under way.

CASH

Cash and capital expenditure

Project	Approved, €m	Spent to date, €m	Forecast, €m
North hub cross-dock expansion	6.8	0.9	6.8
Fleet electrification, phase 1	4.2	2.6	4.4
Warehouse management system	2.9	2.1	3.1
Yard safety improvements	0.7	0.5	0.7
Total	14.6	6.1	15.0

Headroom on the revolving credit facility at 30 September: €21.5m. Covenant leverage 1.6x against a limit of 3.0x.

NEW SINCE THE LAST MEETING

Cyber incident update

- Phishing attack on the Benelux customer portal detected on 2 October
- No customer data taken; portal restored within 9 hours
- External review of portal security due by 30 November

Principal risks

- Fuel price volatility: 60% of expected 2027 volume hedged
- Driver shortage in DACH: recruitment campaign extended to Q1 2027
- Customer concentration: top three customers are 31% of revenue
- Warehouse automation delivery: supplier milestones two weeks late

FOR DECISION

Decisions requested

- Capex of €6.8m for the North hub cross-dock expansion (paper A)
- 2027 budget timetable and planning assumptions (paper B)

Items for noting

- Insurance programme renewed on 1 October
- External audit tender: three firms shortlisted
- Health and safety report for Q3 (paper D)
- Treasury policy review and new counterparty limits (paper C)

Appendix: definitions

- EBITDA margin: earnings before interest, tax, depreciation and amortisation, divided by revenue
- Free cash flow: cash from operations less capital expenditure and lease payments
- Net debt: borrowings and lease liabilities less cash
- On-time delivery: share of consignments delivered within the agreed slot